

Lien Priority in Michigan

A lien on a property can make it more difficult to sell a property. Liens are considered encumbrances and if the property transfers to the new owner, and liens remain unpaid, the unpaid liens can trigger a foreclosure. When a foreclosure happens, the lienholders will be paid out of the proceeds from the sale. But, what if there are multiple lienholders? Who gets paid first? That's referred to as lien priority.

Many states adopt the system "**First in time, first in right**" when determining lien priority. Which means, whoever gets to the courthouse with their lien first gets first priority.

Lien priority among lenders is fairly straightforward ... most of the time. Usually, a first mortgage will take priority over a second "junior" mortgage. Payoff for liens in the event of a foreclosure generally fall into this "first in, first out" camp. However, certain liens take priority, not based on the date and hour they're recorded, but by the type of lien.

For instance, in Michigan, as in many other states, property taxes must be paid first in the event of a foreclosure. In fact, the local taxing authority has the right to bring a foreclosure suit against a property owner for nonpayment of property taxes. Other lien types that receive preferential treatment, regardless of recording date or time, are mechanic's or materialman's liens and special assessments.

A mechanic's or materialman's lien is a lien placed against the property by a contractor or supplier of building materials for that property. So if a homeowner had a \$10,000 brick courtyard installed, and failed to pay the brick supplier, that would be a materialman's lien. If the brick supplier was paid, but the mason wasn't, that would be a mechanic's lien. In spite of the difference, these terms are used interchangeably in Michigan. Michigan law requires that mechanic's liens be filed as public records within 90 days after furnishing the labor or materials.

A mechanic's lien (or materialman's lien), when properly filed, takes priority over a mortgage lien. It would not take priority over property taxes, however.

Special assessments-such as those imposed by a municipality for widening streets or installing sidewalks-would also have priority over a mortgage lien.

In order of priority, then, you'd find:

1. Property taxes and special assessments
2. Mechanic's or materialman's liens
3. Other liens, based on date of recording

Can lien priority ever be changed? Absolutely. A lien holder with majority could subordinate a lien to a junior lien holder. This **subordination** is sometimes done when, for instance, a lienholder on unimproved property subordinates its lien in order to allow the landowner to obtain a construction loan. By allowing the construction loan to be funded, the lender on the vacant land is allowing its lien to be placed in second position.

Foreclosure Sales May Leave Excess-or Deficiencies

In the rare event that there's money left over after a foreclosure sale (all lienholders have been paid, and the cost to foreclose has been paid), any excess goes to the former property owner.

If there's not enough to pay off the costs of the sale and all lien holders, the former property owner may be held responsible for the deficiency. Some lienholders will seek a deficiency judgment against a debtor if the foreclosure sale won't be enough to pay off their debts.